

I sold and received a fill at 55.94 for a gain of 69% with a hold time of about 15 months.

The stock paused for about a month before resuming the uptrend.

My notes claim that I bought in at the perfect time (I'm not sure how I could have timed the entry better).

As for the exit, the 56 level was a resistance area and I sold right as the stock peaked. But as I mentioned, the stock continued to go higher, and that's fine. I still owned part of my holdings that I picked up as part of the broadening wedge trade.

- Lesson: Selling when price reaches a target, if properly chosen, can be the smart move.

Michaels Stores

In mid-2004, I sold part of my holdings in Michaels Stores (MIK), right as a measured move down ended. I expected the stock to go lower, based on what I thought would be a nested measured move down. The pattern never appeared, but if it had, it would have predicted an additional drop of about 8%.

The day I sold, the stock hit bottom (I hate it when that happens). From there, price moved up 97% in just over a year. *Oops*. Thank goodness I only sold a part of my shares and hung onto the rest.

- Lesson: Trying to predict when a measured move down will occur can be difficult.

Energy Select Sector SPDR Fund

In 2019, I owned the Energy Select Sector SPDR fund (XLE), an exchange-traded fund in the energy sector. I knew energy stocks were weak, so I decided to sell my shares. The stock completed a measured move down and when price returned to the corrective phase of the measure move, I sold it at 63.54 in late June 2019. The stock went lower from there, going into August, reaching a short-term low of 55.55. The stock ultimately dropped to 22.88 in March 2020, or 64% lower (because of a price war and a glut of oil due to Covid-19).